

Money and Banking Solved Paper.

Made By “QASIM HAFEEZ”

2024

1. Money market vs capital market

Money Market:

It is a short-term financial market where instruments with maturity less than one year are traded. It helps in liquidity management. **Examples** : Treasury Bills, Commercial Papers, Call Money, Certificates of Deposit

Capital Market:

It is a long-term financial market where instruments with maturity of more than one year are traded. It helps in raising capital for investment. **Examples**: Equity Shares, Preference Shares, Debentures, Government Bonds

2. Monetary policy

Monetary policy is the policy used by a country's central bank (like State Bank of Pakistan) to control money supply and interest rates to achieve economic goals such as price stability, economic growth, and employment.

Example: In Pakistan, the State Bank of Pakistan (SBP) uses monetary policy to control inflation and stabilize the economy.

Types of Monetary Policy:

- A. **Expansionary Policy** – Increases money supply (used in recession)
- b. **Contractionary Policy** – Decreases money supply (used to control inflation)

3. Enlist qualities of good money

- a. **General Acceptability** : It must be accepted by everyone in exchange for goods and services.
- b. **Durability**: Money should last long without getting damaged (e.g., coins or currency notes).
- c. **Divisibility**: It must be divisible into smaller units for small or large transactions.
- d. **Portability**: Good money should be easy to carry and transfer from one place to another.
- e. **Uniformity**: All units of money should look the same in size, shape, and value.
- f. **Stability of Value**: Its value should remain stable over time to protect people's savings.

4. Index number and its application

An index number is a statistical tool used to measure changes in a variable or group of related variables over time. **Example:** Consumer Price Index (CPI) shows the change in average prices paid by consumers.

Formula: $\text{Index Number} = (\text{Current Year Value} / \text{Base Year Value}) \times 100$

Applications of Index Numbers:

Measure Inflation: Used by governments to measure increase in price levels (e.g., CPI and WPI).

Adjust Wages and Salaries: Wages and pensions are adjusted using cost of living index.

Economic Planning: Governments use index numbers to compare growth and make decisions.

Business Use: Businesses use index numbers to analyze sales trends and production performance.

5. Agency functions of a commercial bank?

Agency functions are the services that a commercial bank performs on behalf of its customers, usually for a fee, without using its own funds.

Main Agency Functions:

Collection of Cheques and Bills The bank collects cheques, drafts, bills of exchange, etc., on behalf of customers.

Payment of Bills and Expenses Banks make payments for rent, insurance premiums, utility bills, etc., as instructed by customers.

Transfer of Funds Banks transfer money from one place to another through instruments like pay orders, online transfers, and bank drafts.

Purchase and Sale of Securities The bank can buy or sell shares, bonds, or other securities on behalf of its clients.

Income Collection Banks collect dividends, interest, and pension amounts for customers.

6. Cash reserve ratio

Cash Reserve Ratio (CRR) is the percentage of total deposits that a commercial bank must keep as cash reserve with the central bank (e.g., State Bank of Pakistan). **Formula:** $\text{CRR} = (\text{Cash Reserve} / \text{Total Deposits}) \times 100$. **Example:** If CRR is 10% and a bank receives Rs. 1,000,000 in deposits, it must keep Rs. 100,000 with the central bank.

Effect of Changes in CRR:

High CRR: → Less money with banks → Less lending → Controls inflation

Low CRR: → More money with banks → More lending → Boosts economy

Purpose of CRR: Control Money Supply, Maintain Liquidity, Control Inflation, Financial Stability

2023

7. What is leasing? What are the differences between Operating Lease and Finance Lease?

Leasing is a financial agreement where the owner of an asset (lessor) allows another party (lessee) to use the asset for a fixed period in return for regular payments, without transferring ownership.

Example: A company leases a car for 3 years and pays monthly rent instead of buying it. **Operating Lease:** A short-term lease agreement, Ownership stays with the lessor, Maintenance and risk handled by the lessor, Lease can be cancelled before expiry **Example:** A company leases a car for 6 months and returns it — it's an operating lease.

Finance Lease (Capital Lease):

A long-term lease covering the full life or value of the asset __ Lessee bears all risks and rewards __ Cannot be cancelled easily __ Lessee may become the owner at the end of lease period __ Used for machinery, buildings, etc. **Example:** A business leases a machine for 5 years with an option to buy — it's a finance lease.

8. A) Revocable Letter of Credit vs. Irrevocable Letter of Credit

A **Letter of Credit** is a guarantee given by a bank that the seller will be paid when all required documents are provided by the buyer.

Revocable Letter of Credit: Can be cancelled or changed by the issuing bank without informing the seller. Low security for the seller. Rarely used in international trade. **Example:** Bank cancels the L/C before shipment and the seller cannot object.

Irrevocable Letter of Credit: Cannot be cancelled or changed without the consent of all parties (buyer, seller, and banks). Provides strong security to the seller. Commonly used in international trade **Example:** Once issued, the seller is assured of payment if terms are met.

b) Sight Letter of Credit vs. Deferred Letter of Credit

Sight Letter of Credit:

Payment is made immediately upon presentation of required documents. Seller receives money at sight, i.e., right after shipment. Used when seller needs quick payment. **Example:** Seller presents documents → Bank checks and pays instantly.

Deferred Letter of Credit:

Payment is made after a specific time period, not immediately. Buyer gets time (e.g., 30, 60, or 90 days) to arrange payment. Used in credit-based trade where seller agrees to wait. **Example:** Documents presented → Bank promises payment after 60 days.

9. Discuss any four Islamic Modes of Financing used by banks in Pakistan.

Murabaha (Cost-Plus Sale): The bank buys goods and sells them to the customer at a profit. Cost, profit, and payment terms are clear.

Ijarah (Islamic Leasing): The bank gives an asset on rent. The customer pays rent, but ownership stays with the bank. Used for vehicles, buildings, or equipment.

Musharakah (Partnership): Both bank and customer invest money. Profits are shared as agreed, losses as per capital. Mostly used for business and projects.

Mudarabah (Trust Financing): One gives capital, the other gives skills. Profits are shared, but loss is only for the investor. Popular in investment and trade deals.

10. Define Trade Cycles. Briefly discuss its four phases?

A trade cycle is the repeated rise and fall in economic activity over time, including changes in output, income, prices, and employment.

Four Phases of Trade Cycle:

Boom (Expansion): Economy grows rapidly___ High production, income, and employment___ Business confidence is high

Recession: Economic activity starts slowing down___ Demand falls, production decreases___ Unemployment begins to rise

Depression: Lowest point of the cycle___ High unemployment, low demand and investment___ Consumer and business confidence is low

Recovery (Revival): Economy starts improving___ Investment, demand, and production increase___ Employment starts rising again

11. Differentiate between Deflation and Hyper Inflation

Deflation is a persistent fall in the general price level of goods and services in an economy. It increases the value of money, but often leads to reduced business profits, unemployment, and low demand. **Example:** If a product cost Rs. 100 last year and now costs Rs. 90, that's deflation.

Causes of Deflation: Decrease in consumer spending___ Overproduction___ High interest rates___ Reduction in money supply

Hyperinflation is an extremely rapid and uncontrollable rise in prices, usually above 50% per month. The value of money falls drastically, and people lose trust in the currency. **Example:** In Zimbabwe (2008), prices doubled every few hours.

Causes of Hyperinflation: Excessive printing of money___ Political instability___ Collapse of production___ Loss of public trust in the currency

12. Briefly discuss the differences amongst Current, PLS, & Term Deposit Accounts

Current Account:

Used by: Businessmen and firms. **Profit:** No profit paid. **Withdrawals:** Unlimited, any time. **Chequebook:** Provided. **Purpose:** Daily transactions. **Example:** A company uses it to pay suppliers.

PLS (Profit and Loss Sharing) Account:

Used by: Individuals & institutions (under Islamic banking). **Profit:** Profit shared instead of interest. **Withdrawals:** Allowed anytime. **Chequebook:** Provided. **Purpose:** Safe savings with Halal return. **Example:** A person saves money and earns profit based on bank performance.

Term Deposit Account:

Used by: Investors looking for fixed return. **Profit:** Fixed profit for fixed time (3 months to 5 years). **Withdrawals:** Not allowed before maturity without penalty. **Chequebook:** Not provided. **Purpose:** Long-term saving. **Example:** A customer deposits Rs. 100,000 for 1 year to earn profit.

2022

13. Discuss the features of a saving account.

A saving account is a bank account used to save money. It gives small profit (interest) and allows easy withdrawals.

Features of a Saving Account:

Profit/Earnings: Banks pay a small profit (in Islamic banking) or interest (in conventional banking) on the deposited amount.

Easy Withdrawals: Depositors can withdraw money anytime, but with a limit on frequency in some banks.

Low Minimum Balance: Most banks require a low minimum deposit to open or maintain a savings account.

Safe & Secure: Money in savings accounts is safe, and some banks are covered under deposit protection schemes.

Online & Mobile Banking: Savings accounts can be accessed via mobile apps and internet banking.

14. Discuss very briefly banker customer relationship

The banker-customer relationship begins when a person opens an account in a bank. This relationship is legal and financial in nature.

Types of Relationships:

a. **Debtor-Creditor:** When customer deposits money, bank becomes debtor, customer is creditor.

- b. **Creditor–Debtor:** When customer takes a loan, customer becomes debtor, bank is creditor.
- d. **Trustee–Beneficiary:** Bank may hold valuables or funds as a trustee for the customer.
- e. **Advisor–Client:** Bank also guides clients in investment, savings, and financial planning.

15. Define and explain hypothecation

Hypothecation is a charge created on movable assets (like inventory or vehicles) where the ownership and possession remain with the borrower, but the rights are given to the lender as security for a loan.

Features of Hypothecation:

- a. **No Transfer of Possession:** The borrower keeps the goods, unlike pledge or mortgage.
- b. **Legal Charge:** A formal agreement is signed that allows the lender to take possession if the borrower fails to repay.
- c. **Movable Assets Only:** Applies to current assets like stock, receivables, vehicles, etc.
- d. **Used in Business Loans:** Often used in working capital finance by banks.

16. List down tools of monetary policy by central bank

Bank Rate Policy: The rate at which the central bank lends to commercial banks.

↑ Bank Rate → Less borrowing → Controls inflation

↓ Bank Rate → More borrowing → Encourages growth

Open Market Operations (OMO): Buying or selling government securities in the open market.

Selling securities → Reduces money supply

Buying securities → Increases money supply

Cash Reserve Ratio (CRR): A certain percentage of deposits that commercial banks must keep with the central bank.

High CRR → Less lending → Controls inflation

Low CRR → More lending → Boosts economy

Statutory Liquidity Ratio (SLR): Banks must keep a portion of deposits in liquid assets like gold, cash, or government bonds.

Moral Suasion: The central bank advises or requests banks to follow certain policies without legal force.

2019

17. Quantity Theory of Money & its impact on money's value.

The Quantity Theory of Money (QTM) states that the general price level of goods and services is directly proportional to the money supply in an economy. **Formula: $MV=PT$**

M = Money supply, **V** = Velocity of money, **P** = Price level, **T** = Output

IMPACT

Inflation: More money supply increases prices → money loses value.

Purchasing Power Falls: When prices rise, each unit of money buys less goods.

Monetary Policy Guidance: Helps central banks control inflation by adjusting money supply.

Stability Risk: Rapid increase in money causes hyperinflation (e.g. Zimbabwe).

Value Stability: If money supply is stable, money's value remains stable.

18. Inflation & its kinds.

Inflation is a continuous rise in the general price level of goods and services in an economy, leading to a decrease in the purchasing power of money. **Example:** If inflation is 10%, a product costing Rs. 100 this year will cost Rs. 110 next year.

1. **Demand-Pull Inflation:** Occurs when demand for goods and services exceeds supply, causing overall prices to increase.
2. **Cost-Push Inflation:** Happens when the cost of production rises, forcing producers to raise prices of goods.
3. **Creeping Inflation:** A slow, steady rise in prices that is usually under control and not harmful to economy.
4. **Walking Inflation:** Moderate inflation that increases slowly but may become serious if not controlled in time.

19. Islamic Development Bank & its role in economic development of member countries

The Islamic Development Bank (IDB) is an international Islamic financial institution established in 1975 in Jeddah, Saudi Arabia, to promote economic development among member countries in accordance with Shariah (Islamic law).

Main Roles in Economic Development:

Support for Infrastructure Projects: Funds major development projects like roads, energy, water, and education in poor member countries.

Poverty Reduction: Provides soft loans and grants to improve health, education, and living standards in underdeveloped areas.

Promotion of Islamic Finance: Helps in developing Islamic banking systems and provides training to strengthen financial institutions.

Trade and Investment Support: Promotes intra-OIC trade and supports private sector development through investment in projects.

20. Cash Balance Theory of money & its impact on economy

The Cash Balance Theory (also called Cambridge Approach) focuses on how much money people want to hold (not spend) as cash or balances for future needs. **Formula: $M=k \cdot P \cdot Y$**

M = Money supply, **k** = Proportion of income people hold as cash, **P** = Price level, **Y** = National income/output

Impact on Economy:

- a. **Price Stability:** If people hold more cash (higher *k*), they spend less → lower inflation.
- b. **Influence on Interest Rates:** Higher cash holding can lead to lower demand for loans, reducing interest rates.
- d. **Helpful in Monetary Policy:** Gives insight to central banks about people's cash-holding behavior.

21. A) Evolution of Banks.

1. **Ancient Period:** People deposited gold with goldsmiths, who issued receipts. These acted like early money.
2. **Medieval Period:** Moneylenders and merchant bankers appeared in Europe. Instruments like bills of exchange began.
3. **Modern Banking:** With trade and industry growth, modern banks started offering loans, deposits, and cheques. The Bank of England (1694) set the model for central banks.
4. **Subcontinent:** The first bank was Bank of Hindustan (1770). British banks like the Imperial Bank operated later.
5. **Pakistan:** After 1947, Habib Bank shifted to Pakistan. The State Bank of Pakistan was established on 1st July 1948 to regulate banking.